

3.1 Cost of producing the product

□ Fixed costs (costs which do not vary with output) ▪ Advertising ▪ Insurance ▪ Loan interest ▪ Rent ▪ Salaries ▪ Utilities □ Variable costs (costs which vary with output) ▪ Raw materials/components ▪ Packaging ▪ Wages □ Total cost ▪ Fixed costs + variable costs	To include: • Know the definitions of key terms such as fixed costs, variable costs and total cost • Calculations such as: ○ Total cost ○ Total cost per unit ○ Variable cost ○ Variable cost per unit ○ Fixed cost ○ Fixed cost per unit • Calculations involving different time periods, such as per month or per year Guidance: • Items such as 'salaries' and 'utilities' can sometimes be classified as fixed or variable costs, depending on the scenario. For the purposes of this qualification they are classified as fixed costs. Conversely, 'wages' are classified as variable costs • Know that loan repayments are not a fixed cost – only the interest charged
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